UNITED STATES SECURITIES AND EXCHANGE COMMISSION

FORM 10-K Annual report for the fiscal year ended June 30, 2026

THE PROCTER & GAMBLE COMPANY (test rendering of reported figures)

Item 7. Management's Discussion and Analysis

Net sales increased 3% to $87.0 billion in fiscal 2026. Operating cash flow was $19.6 billion.

We expect capital spending of approximately 5% of net sales in fiscal 2027.

Total shareholder return over 10 years exceeded 180%.

CONSOLIDATED STATEMENTS OF EARNINGS

Amounts in millions except per share amounts; Years ended June 30

	2026	2025
NET SALES	$ 87,032	$ 84,284
Cost of products sold	42,180	41,164
Selling, general and administrative expense	22,304	22,669
Intangible asset impairment	2,800	—
OPERATING INCOME	**19,748**	**20,451**
Interest expense	877	907
Interest income	(420)	(470)
Other non-operating income, net	410	390
EARNINGS BEFORE INCOME TAXES	**19,701**	**20,404**
Income taxes	3,655	4,430
NET EARNINGS	**$ 16,046**	**$ 15,974**
Basic net earnings per common share	6.81	6.75

CONSOLIDATED BALANCE SHEETS

Amounts in millions; As of June 30

	2026	2025
Assets		
Cash and cash equivalents	$ 9,942	$ 9,556
Accounts receivable	6,201	6,118
TOTAL CURRENT ASSETS	**26,208**	**25,392**
Property, plant and equipment, net	23,450	22,152
TOTAL ASSETS	**$ 126,521**	**$ 125,231**
Liabilities and Shareholders' Equity		
Accounts payable	15,801	15,227
Debt due within one year	11,294	9,485
TOTAL CURRENT LIABILITIES	**38,694**	**36,058**
Long-term debt	22,842	24,995
TOTAL LIABILITIES	**72,210**	**72,946**
TOTAL SHAREHOLDERS' EQUITY	**54,311**	**52,284**
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	**$ 126,521**	**$ 125,231**

CONSOLIDATED STATEMENTS OF CASH FLOWS

Amounts in millions; Years ended June 30

	2026	2025
NET EARNINGS	16,046	15,974
Depreciation and amortization	3,160	2,847
Share-based compensation expense	590	613
TOTAL OPERATING ACTIVITIES	**19,556**	**17,817**
Capital expenditures	(4,409)	(3,773)
Proceeds from asset sales	120	478
TOTAL INVESTING ACTIVITIES	**(4,850)**	**(3,551)**